

BANK COMPLIANCE RULES (RBI + AML)

◆ 1. RBI Guidelines for Fraud Monitoring

Banks must:

- Monitor transactions in real-time
 - Detect suspicious patterns
 - Report fraud within defined timelines
 - Maintain audit logs
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◆ 2. KYC (Know Your Customer)

Banks must verify:

- Identity (PAN, Aadhaar)
- Address
- Mobile/email

KYC Types:

- Minimum KYC
 - Full KYC
 - Periodic KYC updates
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◆ 3. AML (Anti-Money Laundering)

AML ensures detection of illegal fund flows.

Key AML Controls:

- Customer Due Diligence (CDD)
 - Enhanced Due Diligence (EDD)
 - Transaction Monitoring
 - Suspicious Activity Reporting
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◆ 4. Suspicious Transaction Reporting (STR)

Banks must report:

- Large unusual transactions
- Frequent transfers
- Structuring/splitting transactions

Reported to:

👉 Financial Intelligence Unit (FIU-IND)

◆ 5. Risk-Based Approach

Customers categorized as:

- Low Risk
- Medium Risk
- High Risk

High-risk customers require:

- Enhanced monitoring
 - Additional verification
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◆ 6. Transaction Monitoring Rules

Banks must monitor:

- High-value transactions
 - Frequent transactions
 - Cross-border transfers
 - New beneficiaries
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◆ 7. Account Freezing Guidelines

Accounts can be blocked if:

- Fraud suspected
- AML violation
- Regulatory instruction

◆ 8. Reporting Timeline (RBI)

- Fraud detection → Immediate reporting
- STR filing → Within defined SLA
- Customer notification required

◆ 9. Data Retention Policy

Banks must:

- Store transaction data for 5–10 years
- Maintain logs for audits

◆ 10. Cybersecurity Guidelines

Banks must implement:

- Multi-factor authentication
- Encryption
- Secure APIs
- Fraud detection systems

◆ 11. Red Flag Indicators

- Sudden high-value transfers
- Multiple failed attempts
- Rapid transactions
- Location mismatch

◆ 12. Compliance Violations

Failure leads to:

- Penalties
- License restrictions
- Regulatory action

